

reversal. Two trendlines bound price action for several days, outlining the narrowing pattern.

The flagpole leading down to the pennant represents an 18% decline. Volume recedes (in the pennant), as you would expect. Price should continue moving lower after this pennant breaks out but doesn't. Why?

I don't know.

You can see in the figure that price loops around the formation end and then heads lower, forming a throwback. If you held onto your short position, you would eventually make money. However, I still classify this pennant as a failure. Why?

The answer is not because the pennant broke out upward in a downtrend. Rather the stock failed to see price move far enough to equal the height of the flagpole. If the pennant worked as it's supposed to, you would see the stock climb back to the price of the highest peak on the chart, 55.75. Instead, price climbs to just 50.63 before heading lower.

How often does the pennant work as a half-staff pattern (meaning it appears midway in the price trend)? Let's crunch the numbers to find out.